

LAND LAW II

EXPROPRIATED

PROPERTIES

The concept of expropriation is a complex but quite understandable concept if due diligence is exerted. It has terms like;

- a) Who is a departing Asians?
- b) What property qualifies to be called Expropriated property?

According to The Immigration (Cancellation of Entry Permits and Certificates of Residence) Decree, of 9th August 1972 entry permits and certificates of residence that had been issued to any person of Asian origin, descent or extraction who was a subject or citizen of The United Kingdom of Great Britain and Northern Ireland, the Republic of India, The Republic of Pakistan and the Republic of Bangladesh, were revoked. They were given 90 days to leave the country. This was followed by The Declaration of Assets (Non-Citizen Asian) Decree of by which the departing Asians were prohibited from transferring or undertaking any further transactions of a proprietary nature in any real property they had in Uganda. They were instead required to declare that property to the Minister who was to appoint agents to manage the property until its transfer to a Uganda Citizen. The property so declared was then expropriated by The Properties and Businesses (Acquisition) Decree, 1973 and vested in the Government of Uganda.

The first category of properties to be expropriated was that of Non-citizen Asians who departed Uganda without declaring their property. Such property could not be sold or purchased and it automatically vested in the government. When Decree No. 29 of 1972 amended Decree No. 27 of 1972, the abandoned property custodian Board was created and the property hitherto vested in the government was vested in the board without further assurance.

The second category of properties to be expropriated was property abandoned by departing Asians or left. The board could by statutory order, declare such property to be mostly industries properties, the powers of board to vest property were subsequently assumed by the minister who could by statutory order vest in the government any other asset of a departed Asians.

The third category of properties was expropriated by the properties and business (acquisition) decree, 1972. Under the law, all properties specified in the schedule to the decree were vested in the government and deemed to have been so vested and acquired by the government as from 18 December 1972. Most of the scheduled properties were industrial establishments and estates owned by British nations. The list was amended by several statutory instruments and the last category was property simply taken over by the Custodian Board or other government officials without either being declared or abandoned and no order made in respect thereof or acquired under the properties and business (acquisition) decrees. The various decrees that made provision for expropriation were beyond Amin's legislative powers in as far as they violated Article 13 of the 1967 Constitution. The taking of possession of these properties was not in the interests of defence, public safety, public order, public morality,



public health, town and country planning or then development or utilization of any property in a manner so as to promote public benefit. There was no necessity for the scale of hardship occasioned to the Asian community and the decrees did not provide for payment of reasonable compensation.

The management of expropriation properties was eventually consolidated into the Assets of the Departed Asian Decree, 1973. All assets and liabilities vested in the government by virtue of S.4 of the Decree were transferred to the Departed Asians Property Custodian Board, which had itself been established under S.5 (91) of the Decree.

The board was established as a body corporate with perpetual succession and a common seal with capacity to sue and be transferred to the sued in its corporate name. The board was mandated to take over and manage all assets transferred to it. This included the responsibility to discharge all the liabilities transferred to it by the Decree and the discharge of mortgages or other debts owed by a departed Asians in relations to expropriated property. The board was also empowered to collect all debts or other monies due to the departed Asian in respect of expropriated property. However, debts claimed by or against a departed Asians were exempted from bearing any interest whatsoever, notwithstanding anything to the contrary contained in any agreement. Effectively then, the contractual relationship between mortgagors and mortgages was interfered with.

The board was specifically empowered to sell or otherwise deal with such assets in the same way that a departed Asian could do. The board could and actually did sell, mortgage, lease sub-mortgages, surrendered leases or renegotiated the terms managing. In other instances, the board released in all these transactions, third parties acquired legal rights which were subsequently affected by the provisions of the Expropriated Properties Act, 1982.

Compensation to Departed Asians

In 1975 the issue of compensation of departed Asians was considered. The compensation was to be determined by the Board of Valuers appointed under S. 2(1) of the properties and business (Acquisition) Decree, 1975.

The compensation had to be paid as the minister may determine having regard to the period within which the property or business may generate sufficient income to effect the amount of compensation payable. The value of compensation as determined by the board of valuers, had to be communicated to the responsible minister of the government of the departed

Asian's country of origin. If the government of the departed Asian was not satisfied with the valuation, it had a right, exercisable within 30days of the notification of the valuation to inform the government of Uganda of its objection together with its reasons.

Upon the fall of Idi Amin's regime in 1979 foreign governments, notably Britain, that had supported the anti-Amin war effort and to whom the post-Amin governments looked for donor support to rebuild the ruined economy, called upon the government in Uganda to redress the wrongful expropriation of Asia properties in 1972. The expropriation was but one of the many wrongs of the Amin regime which had to be redressed.

Not all Ugandans were unhappy with the expropriated. Many had expressed joy at the departure of the Asians. The departure actually opened up many business opportunities to Ugandans, opportunities that they would never have dreamt of before the expropriation. This section of the population did not favour the repossession and actively campaigned against it in the 1980 general elections. However, the new government fulfilled its electoral promise to return the expropriated properties to the former owners by enacting the Expropriated Properties Act, 1982.



The purpose of the Expropriated Properties Act, 1982

The long title to the Act stated that its purpose was to provide for the transfer of the properties and businesses acquired or otherwise expropriated, during the military regime, to the Ministry of Finance and to provide for their former owners or disposal of the same by the government. The interpretation of the Act had to be guided by its express object and intention.

The Supreme Court had held that is a remedial statute aimed at putting right what the legislature in 1982 thought had been unfortunately decreed or done. It was aiming at returning property to former owners and accordingly it had to be given a liberal interpretation. The mischief, which the Act intended to rectify, was the appropriation of property by the military regime and the remedy was to return the property to former owners.

The Supreme Court emphasized that, if the statute were construed restrictively the mischief intended to be redressed would be perpetuated, thereby failing to provide a remedy to the injustice, which was occasioned by the military regime to former owners.

According to *Bashir Ahamed Arain Vs. Uganda Kwegatta Construction Ltd. HCCS No. 612 of 1999*, all questions relating to repossession of the expropriated properties ought to be determined within the ambit of the EPA, 1982.

Properties to which the Act applies.

Provision is made in S.1 (1) of the 1982 Act for the following properties or business to remain vested in the government and to be managed by the Ministry of Finance. These properties or businesses, which were;

- a) Vested in the government and transferred to the departed Asians property custodian Board under the assets of departed Asians Decree, 1973.
- b) Acquired by the government under the properties and business (Acquisition) Decree, 1975.
- c) In any other appropriated or taken over the military regime, save property which had been affected by the provisions of the repealed National Trust Decree, 1971.

The properties provided for in S.1 (1) (a) & (b) were those that were expressly taken over under the respective decrees and have not be the subject of any controversy. However,

properties covered under S.1 (1) (c) have generated controversy and litigation since they were not taken over any known law.

In *Lutaaya V H.G. Gandesha & Anor*, the plaintiff claimed to be a lawful tenant by allocation of expropriated property and was entitled to quiet enjoyment of the property until the property was returned to the former owner or otherwise disposed of under the Expropriated Properties Act, 1982. The first defendant argued that he was Ugandan Citizen whose property was not expropriated. The learned Chief Justice who tried the suit made finding on the three issues he framed in the suit. Of particular interest was that since the first defendant and his wife, who were the only shareholders of the second defendant's company, were all Ugandan citizens the property of the second defendant was not taken over under the Act.



He then considered the interpretation of the phrase 'in any other way appropriated or taken over by the military regime' occurring in S.1 (1) (c) of the Expropriated Properties Act, 1982 and included that anyone who wished to bring kind of appropriation or taking over of the property during the military regime as falling under S.1 (1) (c) of the expropriated properties Act, 1982 must show that the appropriation or the taking over in the first place, was lawful.

Court held that corporate bodies and their property are not liable to expropriation...what happened was that in 1972, the work permit of non citizen Asians were cancelled and that as by decree 30 of 1977...the cancellation affected individuals who were not citizens of this country and it never affected companies which are incorporated companies which never required work permit.

In ***Registered Trustees of Kampala Institute V Departed Asians Property Custodian Board***. However, the Supreme Court reversed the latter judgment on appeal. Taking into account the mischief intended to be cured by the Expropriated Properties Act, 1982 Wambuzi CJ concluded that the words 'in any way appropriated or taken over' must mean whether by law, as in paragraph (a) or (b) or not. Since in this case, the evidence indicated quite clearly that the suit property was forcefully taken over or used by the government, it would be absurd to suggest that because the taking over was illegal, the property in effect could not be returned to the former owner.

What important, then, is to show that one owned property at the time of 1972, expropriation, which was expropriated, regardless of the lawfulness of such action. However, the former owner must prove that the time of the 1972 expropriation he or she owned legal or equitable property capable of expropriation.

In ***Onapa v Muhammed Hussein Rashid Punjani***, the respondent held a 3-year lease over a property in Kampala, which expired on 31 October 1972. In September 1972, he applied to the lessor for an extension of the lease with effect from 1st November 1972. On 28 March 1973, the Commissioner of Lands, as agent of the lessor, wrote to the respondent that his application for extension of the lease by a further period of 12 months with effect from 1st November 1972 had been approved and required the respondent to accept the offer and fulfill certain conditions. In the meantime, the respondent's certificate of residence was cancelled and he left Uganda without declaring his assets and before he received the offer of extension of the lease. Later in 1984, the appellant obtained a lease in respect of the property and was issued with a certificate of title. The lease was extended a number of times

until 1988 when he obtained a lease of 97 years.

In 1992, the respondent obtained a certificate of repossession in respect of the suit property. The appellant contested it on grounds that the respondent did not have property to repossess. The Supreme Court held that there was no lease or agreement for a lease when the respondent left Uganda in 1973. Therefore, the property did not fall under the operation of the Act.

In *Kulani v Satwant Kaur*, the appellant, who was the mailo owner of the disputed property, contested a repossession certificate issued to the respondent on the grounds that the respondent had executed a surrender of his lease with effect from 7th July 1972 before he was expelled from Uganda. This surrender had only been registered in 1977. The Supreme Court held that the unregistered surrender conferred on to the mailo holder a right to the reversion of the lease and extinguished the respondent's lease. The property had reverted to the mailo owner on 7 July 1972 when the lease was surrendered. Therefore, the Expropriated Properties Act did not apply to that property which was never expropriated.



Similarly, in *Jaffer Alibhali and 2 others v Nandala H. Kaira and another*, the Supreme Court held that a departed Asian, who had sold his property and received part payment before leaving Uganda and the sale had subsequently been completed by the Custodian Board, could not reclaim his property, since the purchaser acquired an equitable interest in the property at the time of sale was completed by the Custodian Board.

The court further equated repossession letters to certificates of repossession and was of the opinion that the former clothed applicants with equitable rights to expropriated properties and could be used as notices for vacant possession against sitting occupants of such properties.

Nullification of dealings and reverting of property

All property vested in the government under Decree 27 of 1973 or in other way appropriated or taken over by the military regime was re-vested in the government to be managed by the Ministry of Finance. The minister could by statutory order appoint any other person or body to manage any such vested property, until such appointed. The Departed Asians Property Custodian Board continued to manage the properties.

To ensure that the expropriated properties remained vested in the government and that they were dealt with under the provisions of the Expropriated Properties Act, 1982 all purchases, transfers, grants or any other dealings of whatever kind in such properties were nullified. This nullification even affected leases or tenancies, which had expired or terminated. Such expired or terminated leases were deemed to have continued in force and to continue until the property had been dealt with under the Act.

This nullification interfered with the lawful transactions that had been concluded by the Departed Asians Property Custodian Board in respect of these properties. Purchase or leases or surrenders lawfully effected by the Custodian Board were nullified. Equally nullified were foreclosures and sales of mortgaged properties by mortgages. Re-entries by lessors on expropriated leases were also nullified and such forfeited leases reinstated to be dealt with under the Act. Thus, this law interfered with existing legal relationships between vendors and purchaser. Mortgagors and mortgages and lessors and lessees.

The nullification, on the face of it, was intended to be retrospective, that is to affect those dealing that had taken place before the Expropriated Properties Act 1982.. According to this view, after the coming into force of the Expropriated Properties Act, the normal legal

relationship would obtain, for example, between a lessor and a lessee.

In *Bidandi Ssali v Attorney General*, the High Court held that a lessor could, after the coming into force of the 1982 Act, re-enter upon the land and terminate the lease if there were any breach of the terms of the lease by the Departed Asians Property Custodian Board.

Accordingly, even if there were breaches of rental payments the lessor could not re-enter. The lessor's only remedy was to sue the government for arrears of rent.

The expropriated properties re-vested in government had to remain so vested until the Minister dealt them with in any of the following ways;

- i) Return to former owners (repossession)



- ii) Government entering a joint venture with former owner sale iii) Disposal in any other manner

The Former owners of expropriated property were entitled within ninety days of the commencement of the Act to apply to the Minister in the prescribed form to repossess their property. If the Minister was satisfied with the merits of the application and the property was one in which the government did not wish to participate, the minister could issue a certificate authorizing the former owner to repossesses such property. Certificate authorizing repossession was sufficient authority for the Chief Registrar of Titles to transfer title to the former owner.

Under S.15 of the Act, the Minister was mandated by statutory instrument to make regulations prescribing forms of application and to facilitate the better implementation of the provisions of the act. Pursuant to these powers, the Minister enacted the Expropriated Properties (Repossession and Disposal) Regulations, 1983. Under regulation 10

(3) certificate authorizing repossession, was in the form set out in second schedule to the regulations.

In *Lutaya v H.G Ganfesha & Anor* it was held that properties of Uganda Citizens were not lawfully expropriated and were not subject to Act 9 of 1982, the Custodian Board developed a special form under which they returned those properties to the former owner. In substance, this form, which differed from that prescribed by the regulations, disclaimed the custodian board's interest in the property and stated that the former owner was free to repossess his or her property.

Joint Venture between the government and former owner

Where the government is interested in property, which a former owner has applied to repossess the Minister notifies the application of the government's interest and invites the former owner to enter into joint venture negotiations. Where the negotiations are successfully concluded, a joint venture company is incorporated and the Minister can also validate any existing joint venture arrangements, which are in the interests of Uganda, without having recourse to the above procedure, by merely issuing a Certificate validating the transfer.

Sales by the Minister

The Minister is empowered by S. 8(1) of the Act to make an order that the property be sold in the following circumstances;

- a) Where the former owner fails to apply for repossession within the prescribed time.
- b) Where the minister is not satisfied of the merits of the application
- c) Where negotiations for a joint venture fail or
- d) Where a former owner fails to physically return and reside in Uganda within a period of 120days from date of repossession.

The Minister has used these powers to sell hundreds of largely unclaimed properties. The purchaser is issued with a certificate of purchase, which has the same effect as a certificate of repossession.



Other than ordering the sale of a property, the Minister can, Under 8(1) of the Act, order any other form of disposal, depending on the circumstances of the particular property. He or she can, for example, order that a property be subdivided into separate titles, each to be leased to a particular person. He or she can revalidate leases granted by controlling authorities before 1982 and make planning authority for re-planning and order the authority to compensate the former owner. In one instance, the Minister ordered a resale of properties whose purchases had been nullified by the Act. In another instance, the Minister validated an earlier sale by an agent of the former owner.

In dealing with encumbered properties.

Where a property applied for by a former owner is subject to a caveat, lien, loan, charge, mortgage or other registered encumbrance in favour of any lender, the Minister must first hold consultations with former owner and the lender with a view to securing a mutually acceptable arrangement for the discharge of such encumbrance. Where no such arrangement is reached, the Minister is then empowered to make such arrangement as he or she considers fit. The Minister has similar powers in case of properties that he orders to be sold. It is submitted that where no arrangement is reached and no directions are made by the Minister then the encumbrance remains to be discharged according to the ordinary law governing such caveat lien, loan, charge or mortgage.

Present tenants

Persons who at the commencement of the Act were legitimately occupying or managing property affected by the Act are allowed to continue to occupy or manage the property until it is dealt with under the Act. After disposal of the property by the Minister, such occupants are entitled to not less than 90 days notice to vacate residential property. The law is silent on notice in case of non-residential properties.

Compensation

Provision is made in the Expropriated Properties Act for compensation to be paid to various categories of people. Where the Minister orders a property to be sold, the former owner, not being a citizen of Uganda, is entitled to compensation from the government of Uganda. Where the property is returned to a former owner or transferred to a joint venture company or retained by the government, the former owner or the company or the government is

obliged to pay for the value of any improvements on such property to the person who affected such improvements.

Where the property has been transferred to any person who for value and it is subsequently returned to a former owner or otherwise dealt with under the Act, the government is liable to pay compensation to such person. The provisions relating to compensation payable to such a person is the purchase price paid for the property less the income derived or which ought to have been derived from the date of transfer? The provisions relating to compensation are not compatible with the Constitution.

Firstly, the measure of compensation is not present market value of the property. Secondly, compensation has to be paid over such a person and in such a manner as the Minister may determine or negotiate with the person to be compensated. In *Pyrali Abdul Resul Esmial vs Adrian Sibo*, the issue of whether these provisions met the constitutional requirement for adequacy and promptness of compensation was raised but only two of their lordships attempted to address the issue. The majority of the Court for one reason or another declined this issue.

